

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The nature of John's professional fee income is service fee income. According to the *Hang Seng Bank* case and *HK-TVB International* case, in determining the source of profit, the broad guiding principle is that one looks to see what the taxpayer has done to earn the profit in question and where he has done it.

For profits earned from provision of service, we should focus on the location where the services responsible for the generation of the income are rendered.

In this case the key relevant activities will be the preparation of meeting materials (expected to include analysis of client's background, evaluation of possible financial planning options, formulation of recommendations to client and final report preparation), and meeting with the client where John will go through the report with clients and listen to their feedback.

Peter's approach for determination of the income source is based on the currency of the income and the location where the money is received, which are irrelevant factors. Peter's approach is thus incorrect.

Before the Chinese business mode change, the above key activities were performed by John wholly in mainland China. Assuming no other income generating activities in Hong Kong (case information didn't indicate so), there are strong grounds to argue that the professional fee income is offshore in nature and hence not subject to profits tax. Though Peter has applied the wrong approach the conclusion on income source nonetheless is correct.

After the Chinese business mode change, the above key activities remain relevant but were performed by John in Hong Kong, thus rendering the professional fee income onshore. Peter's arguments about uncontrollable factors and temporary nature of the change are not supported by case laws and unlikely to be acceptable for the IRD. His same offshore conclusion on the professional fee income, despite there is a fundamental change in key fact pattern, is unreasonable.

Answer 1(b)

The following information and documents are relevant to John's offshore claim:

- (i) Identity of the Chinese client including his name, residential address and how John gets to know him.
- (ii) Communication (likely in the form of email or social media chat) with client for service request, expectation on deliverable, meeting date and time confirmation, remuneration basis, etc.
- (iii) How John obtains client's background information and requirements necessary for the next phase of research and analysis.

- (iv) How the research and analysis of data are conducted, by whom and where. Time stamp on work papers should align with the location of the preparer.
- (v) Copies of meeting materials presented and discussed with client during the meeting.
- (vi) Feedback given by client and the follow up action taken (if any).
- (vii) The engagement letter showing the nature of service required and the basis for computation and payment of the professional service fee.
- (viii) Travel records showing the travelling to and from mainland China, and evidence of stay in mainland China, including train/ air ticket, hotel bills, business centre/ meeting room booking confirmation, entertainment bill for dining with client, etc.

Answer 1(c)

Article 24 of the DTA provides for the protocol of exchange of information ("Eol") between the two competent authorities as is necessary, in particular information for the prevention of fiscal evasion.

S.51(4AA) of the IRO allows the IRD to collect information (in this case likely from the offshore claim submission by John) concerning John's income tax liability for the purpose of Eol.

S.49(5) of the IRO provides that the obligation as to secrecy imposed by s.4 of the IRO shall not prevent the disclosure to any authorized officer of the Chinese tax authority because such information is required to be disclosed under the DTA.

Hong Kong's Eol policy is that information will only be exchanged upon request, and Hong Kong has not yet agreed to exchange information on an automatic or spontaneous basis.

In light of the above, if the Chinese tax authority makes a specific request to the IRD for information concerning John's business activities in mainland China, and the IRD agrees the information requested is foreseeably relevant to determine John's China individual income tax liability under the provisions of the DTA, the IRD can share the information about John's business activities in China with the Chinese tax authority.

Answer 2(a)

The principle of "One Country, Two Systems" should be regarded as the ideological cornerstone of the Basic Law. Though Article 5 of the Basic Law specifically states that the PRC system and policies shall not be practiced in Hong Kong, it does not suggest that a Hong Kong resident is not subject to PRC laws for his activity in mainland China.

Article 108 of the Basic Law provides that the HKSAR shall practice an independent taxation system, similarly it does not dictate that a Hong Kong resident is subject to Hong Kong taxation only.

For non-residents performing business activities in mainland China earning income therefrom, primarily the tax consequence should follow the provisions of the mainland China tax law. In case there is a double tax agreement entered into by mainland China and the jurisdiction of the non-resident, the DTA prevails.

There is a DTA between Hong Kong and mainland China, one of the purposes of which is to define the taxing right for income generated by cross-border activity by resident of both sides. For service income the taxing right is largely determined by the existence of permanent establishment in one side. Residency of the taxpayer plays little role here.

Peter's comment on the taxing right of the professional fee income solely in Hong Kong is therefore invalid.

Answer 2(b)

Based on the fact pattern of this case, none of the activities conducted in mainland China by John can be considered preparatory or auxiliary in nature. Therefore the forms of PE suggested under the DTA that are relevant to this case are:

(i) An office

If John has rented a particular hotel room in mainland China for long-term dedicated to his professional business, this can be regarded as an office or fixed place of business in China for John's business.

On the other hand, if John is choosing the hotel based on the location of each client, he may be staying at different hotels in China and hence he maintains no fixed place of business in mainland China.

(ii) The furnishing of service for a period or periods aggregating more than 6 months within any 12-month period.

No information on John's presence in mainland China is provided in the case so no conclusion can be drawn based on this factor. Nonetheless, it can be reasonably assumed that each of John's visits to mainland China is for a particular client and there is no connection between different client engagements (different view may arrive if the clients are in fact different family members of the same family), therefore the PE assessment should be conducted based on the days of presence in mainland China for each client engagement.

Further, for personal financial planning service, it is not difficult to control the days spent in mainland China for each visit to less than 6 months within a 12-month period, therefore it is possible that John does not have a PE in mainland China under this definition.

Answer 2(c)

In accordance with Clause 2, Article 3 of the Individual Income Tax Law, annual taxable income generated by John from business operation in mainland China is taxed at the progressive rates ranging from 5% to 35%.

Annual taxable income is arrived after deducting costs, expenses and losses incurred in a tax year.

John should keep track of the amount of professional fee income from his Chinese clients. The amount should be supported by executed engagement letters and receipts issued to clients.

For deductible costs and expenses, they would normally include travelling and hotel expenses, telephone and internet charges, printing and stationery, entertainment (with restriction). Tax deduction should be supported by valid business receipts/ tax invoices and travel itinerary showing they were incurred during meetings with Chinese clients.

Answer 3

Under s.64(1) of the IRO, taxpayer has the right to lodge objection against a tax assessment on condition that it is lodged within 1 month after the date of issue of the notice of assessment. Per fact pattern of the case, the relevant notices of assessment were issued 3 months ago and hence the above time limit for a valid objection has lapsed.

Even if the IRD accepts a late objection and agrees to the tax refund request, there is no provision in the IRO that allows the taxpayer to claim interest from the IRD based on the time the overpaid tax is sitting in the IRD's pocket. This equally applies to the request for compensation as well.

To sum up, the requests suggested by Peter are all invalid.

The proper approach to achieve the objective of getting the tax refund for the tax overpaid by John is to lodge a claim under s.70A of the IRO to re-open the relevant tax assessments on the grounds that there are error or omission in the tax returns filed.

The time limit for this claim is within 6 years after the end of the relevant year of assessment (2016/17 is still open). If the IRD accepts this claim, the IRD will adjust the relevant tax assessments and refund the tax overpaid to John.

However, convincing the IRD to accept the reporting of the professional fee income from Chinese clients was an error could be challenging, because the IRD can counter-argue that John has changed his mind on the tax filing position, which is not an error at all.

For tax filing purposes, the IRD requires the submission of certified financial statements for John's business prepared in accordance with the Hong Kong financial reporting standards ("HKFRS"), if no audit is performed on such financial statements.

Under the HKFRS, the way the income is received, the source nature and the taxation of income should not affect the recognition of such income in the income statement.

If Peter's recommendations (5) and (6) are followed, the income statement so prepared will not give a true and fair view of John's business' financial position.

If the unaudited financial statements are certified as true and correct by John, there is doubt whether John is knowingly certifying an incorrect document without reasonable excuse.

Answer 4(a)

Under the "assess first audit later" tax assessing practice of the IRD, it is possible that the IRD will issue the 2021/22 tax refund notice to John per the tax return filed, without reviewing the offshore claim in the tax return in detail.

However, the IRD reserves the right to perform a detailed review later on the filing position adopted or tax claim lodged, should that be the case John is required to provide information/ documents to support his claim.

If John fails to support his offshore claim, the IRD can issue additional tax assessments under s.60 of the IRO to recover the tax undercharged.

The time limit for issuing the additional assessments is 6 years after the end of the relevant year of assessment.

Further, if the IRD is taking the view that the offshore claim is without merit and incorrect, the IRD can impose penalty under s.80(2) of the IRO which can be as high as HK\$10,000 and 3 times of the tax undercharged.

In summary, the issuance of the 2021/22 tax refund notice does not indicate the IRD has accepted the offshore claim. Peter is still liable to pay the tax undercharged in case the IRD finally denied the offshore claim anytime within the 6-year time limit. Peter's assertion is incorrect and misleading.

Answer 4(b)

Tax planning is a set of strategies, approaches and solutions utilized by tax practitioners to advise clients to mitigate or eliminate tax liabilities arising from a given transaction. However, there is an important distinction to be drawn on the one hand between tax mitigation, which is legal, and on the other hand tax evasion which is a criminal offence subject to punishment in terms of fine or imprisonment.

Whilst John as taxpayer has the right to lodge the tax refund claim with the IRD, the acceptance of which is subject to John's ability to discharge his onus of proof to the satisfaction of the IRD by providing information and documents in support. During this process, John has to ensure there are no illegal activities otherwise the tax planning may turn to a tax evasion exercise.

The following areas in Peter's approach to the offshore claim may violate the provisions in the IRO:

- The creation of incorrect information and false documents in support of a tax claim is an offence under s.80(2) of the IRO, the maximum penalty is HK\$10,000 and 3 times of the tax undercharged.
- Should the IRD suspects there is an element of tax evasion, the IRD can extend the desktop review to field audit investigation, requesting John to attend a meeting in person, provision of information in wider scope, requesting other parties (bank, customers, business partners, etc.) to provide information for cross-checking. In fact, relying on non-disclosure to achieve the objective of securing a tax benefit has gone beyond the limit of tax planning. If the process involved illegal activities, this would constitute tax evasion.
- Under s.60 of the IRO, the IRD is empowered to issue tax assessments for back years to John to recover back taxes for up to 6 years after the end of the relevant year of assessment. The 1-month time limit suggested by Peter is for objection against a tax assessment by taxpayer, which is irrelevant.
- In the event that the IRD considers John engaged in a blatant wilful tax evasion and he has no reasonable excuse, the IRD may prosecute against John under s.82 of the IRO. The maximum penalty is a fine of HK\$50,000 and 3 times of the tax undercharged and imprisonment of 3 years. If no prosecution is made under s.82 of the IRO, the IRD can impose additional tax under s.82A of the IRO, the maximum of which is 3 times of the tax undercharged.

* * * END OF SECTION A * *

SECTION B – WRITTEN QUESTIONS (Total: 50 marks)

Answer 5(a)

For residential property transactions, one has to consider the ad valorem stamp duty ("AVD"), buyer's stamp duty ("BSD") and special stamp duty ("SSD").

AVD is payable in all circumstances on transfer of beneficial interest of immovable property in Hong Kong either at Scale 1 or Scale 2 (i.e. the lower rates). Unless specifically exempted or otherwise provided, AVD is payable at Scale 1 (Part 1), i.e., a flat rate of 15%, on an agreement for sale for the acquisition of any residential property executed on or after 5 November 2016. Scale 2 applies to situations including acquisition of a residential property by a Hong Kong permanent resident ("HKPR") jointly with a close relative (i.e. including spouse), who is not a HKPR, and each of the purchasers is acting on his or her own behalf and not a beneficial owner of any other residential property in Hong Kong at the time of acquisition. According to ss.29AC(1) and (2) of SDO, the beneficial owner of a residential property includes a purchaser under an agreement for sale of the property even if the transaction has not been completed, unless the agreement for sale has been cancelled, annulled or rescinded, or otherwise not performed.

Mrs Smith, who is a HKPR, jointly acquired Flat 6A with her spouse, Mr Smith, who is not a HKPR. At the time of purchase of Flat 6A, each of Mr Smith and Mrs Smith was acting on his/ her own behalf and was not a beneficial owner of any other residential property in Hong Kong. The PASP of Flat 6A was chargeable with AVD at Scale 2 in the amount of HK\$230,000 (HK\$180,000 + 10% x HK\$500,000).

At the time of purchase of Flat 6B, the Couple were beneficial owners of Flat 6A under ss.29AC(1) and (2) of the SDO. The PASP of Flat 6B was chargeable with AVD at Scale 1 (Part 1) in the amount of HK\$900,000 (HK\$6,000,000 x 15%).

Unless specifically exempted or otherwise provided, BSD at a flat rate of 15% on the transfer consideration or market value of the property, whichever is the higher, is payable on an agreement for sale or conveyance on sale executed for the acquisition of a residential property on or after 27 October 2012. BSD is not payable if, among others, the property is purchased jointly and one purchaser is a HKPR and the other purchaser is closely related (i.e. including spouse). The PASPs of Flat 6A and Flat 6B were not chargeable with BSD since the aforesaid exemption is satisfied.

SSD is payable if a residential property is acquired on or after 20 November 2010 and resold within 24 months (the property was acquired on or after 20 November 2010 and before 27 October 2012) or 36 months (the property was acquired on or after 27 October 2012). SSD is calculated by reference to the stated consideration or the market value of the property, whichever is the higher, at the rates for different holding periods of the property by the seller before disposal. For the purposes of determining the duration of the holding period, the acquisition date is taken to be the date a person enters into a chargeable agreement for sale as purchaser to purchase the property (i.e. the date of the provisional agreement for sale and purchase in most cases).

The holding period of Flat 6A and Flat 6B was 13 months (i.e. from 1 April 2020 to 30 April 2021). SSD was HK\$1,700,000 (HK\$17,000,000 x 10%).

Answer 5(b)

All tax advisors should observe professional ethics when rendering tax services to their clients under s.600 "Ethics in Tax Practice" in the Code of Ethics for Professional Accountants issued by the Hong Kong Institute of Certified Public Accountants. A tax advisor should put the client's interest forward to the extent that services can be rendered with professional competence, without impairment to the standards of integrity and objectivity, and with compliance with the law. In particular, a tax advisor must not associate himself with any return or communication which he has reason to believe that contains a false or misleading statement or contains statements or information furnished by the client recklessly or without any real knowledge of whether they are true or false.

Mr Chan was the lender of the fund to the Couple to finance the down payments of Flat 6A and Flat 6B. The message of "get more than expected at the time of repayment of the loan" indicates that the Couple promised to give Mr Chan additional reward if the IRD accepts their claim. Mr Chan needed to consider whether there was a conflict of interest, which would impair the integrity and objectivity in the process of providing tax advisory services to the Couple.

Also, Mr Chan should be aware of the Couple's promise to construct something which was in favor to their claim. They seem to suggest that they could produce some false or misleading information to the IRD in order to increase the chance of success of their case. This is not acceptable.

In conclusion, Mr Chan should not accept the engagement of providing tax advisory services to the Couple.

Answer 6

S.14(1) of the IRO provides that profits tax is chargeable on the profits arising in or derived from Hong Kong from carrying on a trade, profession or business in Hong Kong (excluding profits arising from the sale of capital assets). S.2(1) of the IRO defines "trade" to include every adventure and concern in the nature of trade.

If a property is held as a capital asset, its gain on disposal is capital in nature and is not chargeable to profits tax. If a property is held as a trading asset, its trading profits from disposal is chargeable to profits tax.

In deciding whether a gain derived from the sale of a property is trading or capital in nature, one can adopt the "badges of trade" approach (*Marson v Morton*). The "badges of trade" are applied as a matter of fact. There is no single decisive factor and it is a mixed question of fact and law. The following factors are considered in the present case:

- (i) Profit-seeking motive: Though the Couple claimed that they intended to purchase Flat 6A and Flat 6B for self-use, the frequent change of the asking price of Flat 6A and Flat 6B for eight times within five months was a strong indication of the Couple's profit-seeking motive.

- (ii) The subject matter of the transaction: The subjective intention of the Couple at the time of their acquisitions of Flat 6A and Flat 6B is especially important in determining whether the properties were acquired as trading assets. The Couple claimed that Flat 6A and Flat 6B were acquired for their matrimonial home. However, Mr Smith's return to the US after the one-year-secondment and the approval of his application for bringing Mrs Smith to live in the US right before they acquired Flat 6A and Flat 6B; and the appointment of property agent to sell Flat 6A and Flat 6B immediately after the completion of renovation suggested that their claimed intention of self-use might not be genuine and realistic.
- (iii) The number of transactions carried out and the frequency or number of similar transactions by the same person: In the subject transaction, the Couple resold two residential properties. The information available only showed that the Couple did not own any other residential property in Hong Kong at the time immediately before purchase of Flat 6A. It is uncertain whether the Couple had any history of property trading, for example, whether Mr Smith and Mrs Smith had jointly or solely traded other residential properties previously. The information available in this case is not sufficient to decide on this factor.
- (iv) The length of the period of ownership: Flat 6A and Flat 6B were held for 13 months (i.e. from 1 April 2020 to 30 April 2021), which is a relatively short period of time.
- (v) Supplementary work on or in connection with the property sold: The renovation work to make Flat 6A and Flat 6B to be one adjoining flat enhanced the uniqueness of Flat 6A and Flat 6B and likely added the resale value of the properties.
- (vi) The source of financing: The down payments of Flat 6A and Flat 6B were financed by a personal loan from a bank and borrowings from the Couple's friend, which were both repayable in 24 months. Prima facie, the short-term financing suggested that Flat 6A and 6B had to be resold in short-term for the loans to be repaid. They were unlikely held as capital assets. In addition, the Couple's total monthly income barely exceeded the total monthly repayment of the loans for financing Flat 6A and Flat 6B by HK\$10,000. There is serious doubt whether the Couple had financial abilities to hold Flat 6A and Flat 6B in long-term.

Taking into account the above factors, the purchases and sales of Flat 6A and Flat 6B were prone to an adventure in the nature of trade. The trading profits from the disposal of Flat 6A and Flat 6B were chargeable to Profits Tax.

Answer 7

To: Ms Law
From: Betty Wong, Tax Advisor
Date: xxx
Subject: Chargeability of Sums A to D

This memo serves to advise whether Sums A to D are taxable income, and if so, the taxable amount and the timing of assessment.

Under s.8(1)(a) of the IRO, Salaries Tax shall be charged for each year of assessment in respect of a person's income arising in or derived from Hong Kong from the source of any office or employment of profit. S.9(1)(a) of the IRO defines income from any office or employment to include "any wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite, or allowance, whether derived from the employer or others.

The Court of Final Appeal in *Fuchs v Commissioner of Inland Revenue* [2011] 14 HKCFAR 74 held that:

- if the payment is contemplated in the employment contract such as payment in lieu of notice or otherwise has the character of a reward for past, present or future services as an employee, it will be taxable.
- if the payment is to compensate the employee for breach of the employment contract or make in consideration of the employee agreeing to surrender or forgo his pre-existing contractual rights, it will not be taxable.

S.11B of the IRO provides that the assessable income of a taxpayer in any year of assessment is the aggregate amount of income accruing to them from all sources in that year of assessment. S.11D(b) provides that income accrues to a taxpayer when he is entitled to claim a payment of it. S.11D(b) proviso (ii) provides that any payment made by an employer to a person after he has ceased or been deemed to cease to derive income that if it had been made on the last day of the period during which he derived income, would have been included in that person's assessable income for the year of assessment in which he ceased or is deemed to cease to derive income from that employment, shall be deemed to have accrued to that person on the last day of that employment.

Sum A

Under the employment contract, both the Employer and you could terminate the employment by giving the other party one month's notice or payment in lieu of notice. Sum A, being the payment in lieu of notice, was made pursuant to your employment contract and was chargeable to Salaries Tax.

Since the Employer was obliged to pay Sum A within seven days from the separation agreement, Sum A accrued to you on 7 January 2020 under s.11D(b) of the IRO. Further, s.11D(b) proviso (ii) operates to deem Sum A to have accrued to you on the last day of employment, i.e. 31 December 2019. Sum A was assessable in the year of assessment 2019/20.

Sum B

Sum B was the restrictive covenant payment for restricting you from being employed by other banks for three months immediately after the date of termination. The employment contract entered into between the Employer and you did not contain any restrictive covenant clause and the restrictive covenant clause was only provided in the separation agreement. Sum B was not a payment contemplated in the employment contract. It was also not made as a reward for your past, present or future services. Thus, Sum B was not chargeable to Salaries Tax.

Sum C

Under s.8(2)(cc)(ii) and s.8(4)(b) of the IRO, a sum equal to so much of the accrued benefit received from the approved trustee of a MPF scheme, or taken to have been received by an employee from a MPF scheme upon termination of service, is exempt from Salaries Tax to the extent that it is attributable to voluntary contributions made by the employer and does not exceed an amount equal to the proportionate benefit stipulated under s.8(5) of the IRO. If the receipt exceeds the proportionate benefit, the excess is income from an employment or an office, which is chargeable to Salaries Tax under s.9(1)(ae) of the IRO. S.8(9) of the IRO provides that a person is taken to have received from the MPF scheme on the date of termination of service such part of the person's accrued benefit attributable to the employer's voluntary contributions ("the Accrued Benefit"), if the services of a person are terminated and the Accrued Benefit is retained within the scheme.

Under your terms of employment, the Employer's voluntary contributions under MPF would be fully vested after three years of service. The Accrued Benefit was fully vested to you since you were under employment with the Employer for more than three years (i.e. from 1 April 2015 to 31 December 2019). The amount chargeable to Salaries Tax under s.9(1)(ae) of the IRO is as follows:

$$\begin{aligned} & \text{HK\$400,000} - \text{HK\$400,000} \times \frac{57}{120} \quad (\text{i.e. completed months of service}) \\ & = \text{HK\$210,000} \end{aligned}$$

Since you were deemed to have received the Accrued Benefits retained in your MPF scheme account on the date of termination (i.e. 31 December 2019) under s.8(9) of the IRO, the amount of HK\$210,000 was assessable in the year of assessment 2019/20.

Sum D

Under your terms of employment, your share awards would vest in full on the vesting date notwithstanding the cessation of employment with the Employer. The value of shares was your contractual entitlement and a perquisite chargeable to Salaries Tax under s.9(1)(a) of the IRO.

The value of shares accrued to you when you were entitled to ownership of shares (i.e. the vesting date) under s.11D(b) of the IRO. The vesting date of 10,000 shares was 31 March 2021, which was after termination of employment. Sum D was deemed to have accrued to you on the last day of employment with the Employer (i.e. 31 December 2019) and chargeable to Salaries Tax in the year of assessment 2019/20 under s.11D(b) of the IRO.

I hope the above is helpful to you. Please feel free to contact me at XXXX XXXX if you have any further questions.

Answer 8(a)

ML Health and Beauty Consulting Limited Profits Tax computation

<u>Year of assessment 2018/19</u>	<u>HK\$</u>
Gross Profit	5,000,000
Less: Operating and administrative expenses	(2,000,000)
Interest expense (Note)	(40,000)
Commercial building allowance (HK\$1,000,000 x 4%)	(40,000)
Refurbishment cost (HK\$500,000 x 1/5)	(100,000)
Assessable Profits	<u>2,820,000</u>

Tax payable thereon	
First HK\$2,000,000 x 8.25%	165,000
Next HK\$820,000 x 16.5%	135,300
	<u>300,300</u>

<u>Year of assessment 2019/20</u>	<u>HK\$</u>
Gross Profit	3,000,000
Less: Operating and administrative expenses	(1,500,000)
Interest expense	(40,000)
Commercial building allowance (HK\$1,000,000 x 4%)	(40,000)
Refurbishment cost (HK\$500,000 x 1/5)	(100,000)
Compensation for cancellation a purchase contract of products	(1,000,000)
Assessable Profits	<u>320,000</u>

Tax payable thereon (HK\$320,000 x 8.25%)	<u>26,400</u>
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Note: $\text{HK\$}2,000,000 \times 5\% - \text{HK\$}3,000,000 \times 3\% \times \text{HK\$}2,000,000 / \text{HK\$}3,000,000$
= HK\$40,000

Answer 8(b)

Note (iii)

S.16(1) of the IRO provides for deduction of all outgoings and expenses incurred in the production of chargeable profits. S.17(1)(c) of the IRO prohibits deduction of any expenditure of a capital nature.

The facial machine and equipment were ML's capital assets. The compensation of HK\$1.2 million paid to the supplier for cancellation of purchases of the facial machine and equipment was capital in nature and not deductible under s.17(1)(c) of the IRO.

ML's principal business activity included wholesale of skin care products. The skin care products were ML's trading stocks. The compensation of HK\$1 million paid to the supplier for cancellation of purchases of the skin care products was for the purpose of ML's trade. It is revenue expenditure and deductible under s.16(1) of the IRO.

Note (iv)

Mr Mo owned 50% of ML's share capital and he is the keyperson of ML. It appears that the purpose of purchasing the insurance policy was to protect the value of the shares of ML because the life or well-being of Mr Mo would significantly affect the value of ML's shares. There was an advantage with enduring benefit brought by the payment of premium for the insurance policy of Mr Mo. The insurance premium was of capital nature and not deductible under s.17(1)(c) of the IRO.

* * * END OF EXAMINATION PAPER * * *